LEGAL DUE DILIGENCE REPORT

Project Willow — Proposed acquisition of Westmere Coatings Limited

Prepared for: Halloran Capital Partners | Prepared by: Whitfield Carter LLP | Date: 6 May 2025 | Status: Final (red-flag report)

1. Scope and basis

This report summarises the principal legal findings arising from our review of the documents made available in the data room and the Target's replies to our due diligence enquiries, as at 2 May 2025. It is a red-flag report and addresses only matters we consider material to the acquisition. It is subject to the limitations and assumptions set out in Appendix 1 and is addressed to and may be relied on only by Halloran Capital Partners.

2. Executive summary

Westmere Coatings Limited is a well-established specialty industrial coatings business based in Sheffield, founded in 1999 and family-owned. Our review did not identify any issue that we consider should prevent the acquisition from proceeding. The principal matters requiring protection in the SPA or specific attention are: (a) the change-of-control consent required under the Pennine Asset Finance master hire agreement (a condition to completion); (b) an environmental permit variation pending with the Environment Agency; (c) a potential employment claim by a former employee (Doyle); and (d) an open HMRC enquiry into a 2023 R&D; tax credit claim. Each is addressed below with our recommended protection.

3. Corporate

The Target is a private company limited by shares with 10,000 ordinary shares of £1 each in issue, held by the four Sellers in the proportions 68% / 17% / 10% / 5%. The statutory registers are complete and up to date. The articles contain pre-emption rights on transfer which the Sellers will waive in the SPA. No options or other rights over the share capital subsist. Recommended protection: title warranties (uncapped, save at 100% of consideration) and waiver of pre-emption in the SPA.

4. Material contracts

The Target's key supply arrangement is a powder-coating supply agreement with AkzoNobel Powder Coatings Ltd (1 April 2022) containing a change-of-control notification (not consent) provision. The master hire agreement with Pennine Asset Finance Limited (4 March 2021) requires the lessor's written consent to a change of control; this should be a condition to completion. Recommended protection: completion condition for the Pennine consent; post-completion notification to AkzoNobel.

5. Property

The Target occupies Unit 4, Carbrook Industrial Estate, Sheffield under a lease expiring in 2031 with a tenant break in 2028. Replies to CPSE enquiries disclosed no material disputes. The lease is not contracted out of the security of tenure provisions of the Landlord and Tenant Act 1954. No issue requiring price adjustment was identified.

6. Environmental

The Target holds environmental permit EP/SH/00214 for its solvent-based coating line; a routine variation is pending. A 2019 Phase II assessment identified historic, low-risk hydrocarbon contamination not requiring remediation under current use. Recommended protection: specific environmental warranties and, if available, reliance on warranty and indemnity insurance.

7. Employment and pensions

Employee terms are documented and broadly market-standard. A former employee (Doyle) has lodged an ACAS early-conciliation notice alleging unfair dismissal; no claim has yet been issued and the Target denies liability. The Operations Director (Naylor) has indicated possible retirement within 18 months. The Target operates a defined-contribution pension only. Recommended protection: specific indemnity for the Doyle matter capped at £75,000; retention of key managers via the new service/consultancy agreements.

8. Tax

An HMRC enquiry into the Target's FY2023 R&D; tax credit claim (£118,400) remains open. A £40,000 reserve has been agreed in the completion accounts. Recommended protection: tax covenant (7-year limitation) and specific disclosure carried into the completion accounts.

9. Litigation and compliance

Other than the Doyle matter and routine debt collection, the Target is not engaged in litigation. We identified no material regulatory non-compliance. Recommended protection: standard litigation and compliance warranties.

10. Recommended SPA protections (summary)

Issue	Recommended protection
Pennine Asset Finance consent	Condition to completion
AkzoNobel change of control	Post-completion notification undertaking
Environmental permit / contamination	Specific environmental warranties; W&I insurance
Doyle employment matter	Specific indemnity (cap £75,000)
HMRC R&D enquiry	Tax covenant (7 yrs); £40,000 reserve in completion accounts
General business warranties	Cap 25% of consideration (£9,887,500); 24-month time limit

Appendix 1 — Assumptions and limitations

This report is based solely on the documents and replies made available to us up to 2 May 2025. We have assumed the accuracy and completeness of those documents and replies. We express no opinion on the commercial merits of the transaction or on matters of valuation, accounting, tax computation, or non-English law. This report is confidential to the addressee and is subject to our engagement terms.